

Cease the cess: On the GST and reforms

Low GST collections speak to the need for structural reforms

The eighth **anniversary** of the Goods and Services Tax (GST) in India, on July 1, **coincided with** the poorest tax collections the indirect tax system has seen in some time, **highlighting** the need for structural changes in the system. The latest GST collections stood at ₹1.85 lakh crore in June 2025, the lowest in four months. This amount was just 6.2% higher than the collections in June 2024, the slowest growth rate in four years. Looking past the **gross** collections, the data show that once refunds are **accounted for**, the growth in the government's actual collections was just 3.3%. Further, the **revenue** from domestic transactions, excluding imports, **was** an **anaemic** 4.6% higher than in June last year — **barely** faster than the average rate of **inflation** since then. Being a consumption tax, a **dip** in GST collections **reflects** a dip in economic activity. But it also reflects **inefficiencies** in the system, which must now suitably be **addressed** eight years on. A common demand is for fuel to be included in GST. There is, however, strong **resistance** to this from State governments, since fuel and alcohol are the few sources of revenue States have with them that are independent of the Centre. However, this cannot be reason enough to **perpetually** keep these items excluded. It is 'one nation, one tax' after all, and **it is high time** that the goal was achieved in full. As for the revenue hit to States, the Centre must **accede to** their request for a higher share in central taxes. The Centre must also stop increasingly relying on non-shareable cesses for its revenue. For their part, States must **resist** the **temptation** to use this higher amount on election-oriented untargeted **freebies**. Trust goes two ways.

The other popular reform is a reduction in the number of GST rates. This, too, is **overdue**, and the GST Council's **fitment** and rate-setting committees are **examining** the issue. Connected to this is the question of what is to be done with the GST Compensation Cess, which is **levied** over and above the 28% **slab**. It was originally intended to compensate States for any losses arising out of GST implementation for a period of five years. It was then extended until March 2026 to repay the loan taken by the Centre to pay this compensation since the COVID-19 pandemic had **disrupted** revenues. The Centre should avoid the temptation to **subsume** this cess into the broader GST rates. Instead, with its job done, the cess must be removed. Taxation is not just a **covenant** between the Centre and the States. It is also one with the people. **Removing** a cess that is no longer needed **will** not only **garner** public praise but could also **spur** some **sorely** needed urban consumption. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.
- **It is high time** (phrase) – used for saying that something should be done or happen immediately or very soon

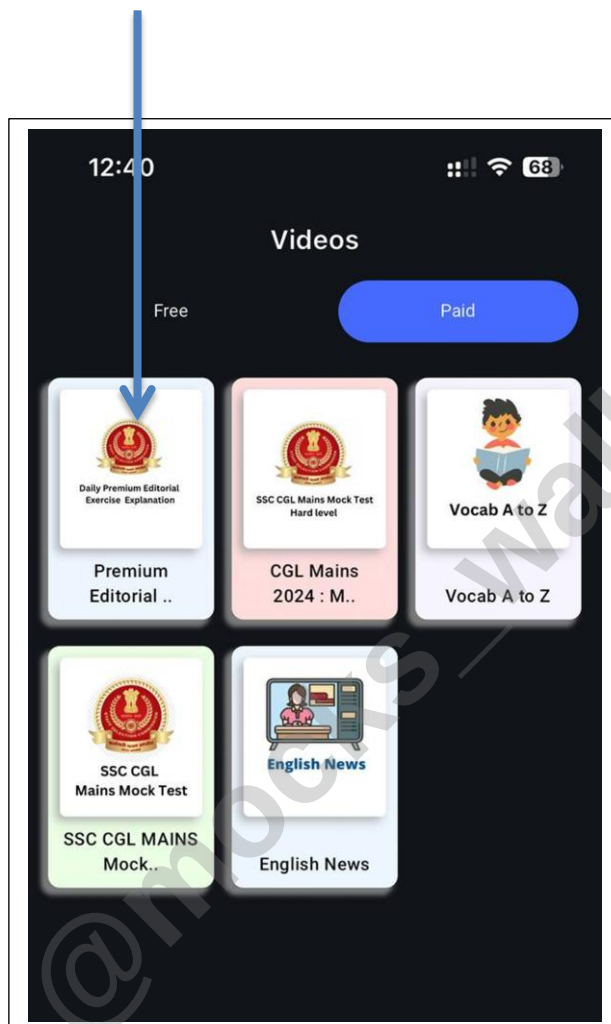
Vocabulary

1. **Cease** (verb) – Stop, halt, end, discontinue, terminate रोकना/बंद करना
2. **Cess** (noun) – Tax, levy, duty, charge, contribution उपकर/कर
3. **Coincide** (with) (verb) – Happen simultaneously, concur, synchronize, correspond, match मेल खाना/समान समय पर होना
4. **Highlight** (verb) – Emphasize, underscore, stress, spotlight, accentuate उजागर करना
5. **Gross** (adjective) – Total, overall, aggregate, entire, whole कुल
6. **Account for** (phrasal verb) – Explain, clarify, justify, make up, comprise शामिल करना
7. **Anaemic** (adjective) – Weak, feeble, sluggish, lacking strength, insipid कमजोर
8. **Barely** (adverb) – Hardly, scarcely, just, only, almost नहीं मुश्किल से
9. **Inflation** (noun) – Price rise, cost escalation, increase, surge, upsurge मुद्रास्फीति
10. **Dip** (noun) – Decline, drop, decrease, fall, reduction गिरावट
11. **Reflect** (verb) – Show, indicate, reveal, display, demonstrate दर्शाना
12. **Inefficiency** (noun) – Incompetence, inadequacy, unproductiveness, wastefulness, sloppiness अक्षमता
13. **Address** (verb) – Deal with, tackle, handle, resolve, confront समाधान करना
14. **Resistance** (noun) – Opposition, defiance, reluctance, refusal, obstruction विरोध
15. **Perpetually** (adverb) – Continuously, endlessly, eternally, constantly, unceasingly लगातार
16. **Accede** (to) (verb) – Agree, consent, yield, comply, assent सहमत होना
17. **Resist** (verb) – Oppose, withstand, fight, refuse, defy विरोध करना
18. **Temptation** (noun) – Allurement, lure, enticement, attraction, seduction प्रलोभन
19. **Freebie** (noun) – Giveaway, handout, gift, perk, complimentary item मुफ्त चीज़
20. **Overdue** (adjective) – Delayed, late, pending, behind schedule, belated लंबित/अतिदेय
21. **Fitment** (noun) – Adjustment, fixing, setting, alignment, arrangement समायोजन
22. **Examine** (verb) – Inspect, analyze, study, scrutinize, evaluate जांच करना
23. **Levy** (verb) – Impose, charge, collect, assess, exact लगाना (कर)

24. **Slab** (noun) – Band, bracket, level, tier, category वर्ग/स्तर
25. **Disrupt** (verb) – Disturb, interrupt, derail, upset, break बाधित करना
26. **Subsume** (verb) – Include, incorporate, absorb, integrate, encompass सम्मिलित करना
27. **Covenant** (noun) – Agreement, pact, contract, promise, commitment समझौता
28. **Garner** (verb) – Gather, collect, earn, accumulate, amass प्राप्त करना
29. **Spur** (verb) – Stimulate, encourage, boost, incite, prompt प्रोत्साहित करना
30. **Sorely** (adverb) – Greatly, seriously, badly, desperately, severely अत्यधिक/बेहद

@mocks_wallah

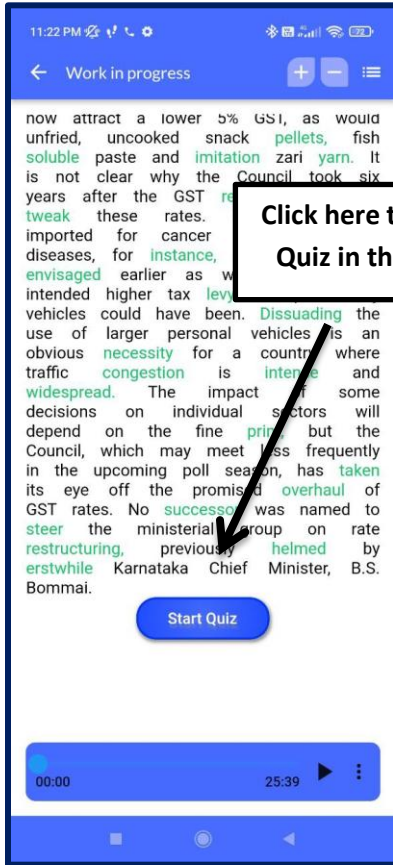
Video solution of Practice Exercise from this Editorial is exclusively available on App.



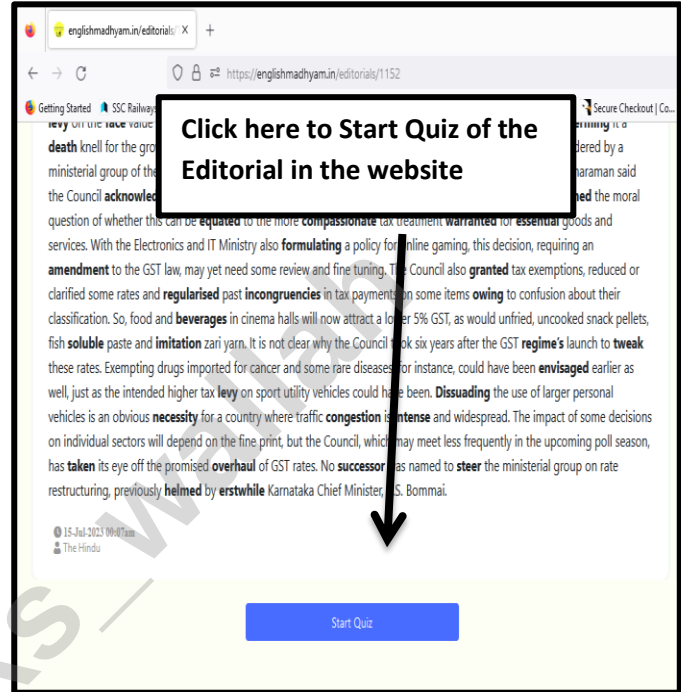
Summary of the Editorial

1. The editorial marks the eighth anniversary of the Goods and Services Tax (GST) in India, coinciding with recent poor tax collection figures.
2. GST collections in June 2025 were ₹1.85 lakh crore, the lowest in four months.
3. Growth in GST collections was only 6.2% over June 2024, the slowest pace in four years.
4. After adjusting for refunds, the real growth in collections shrank to just 3.3%.
5. Revenue from domestic transactions grew by a meagre 4.6% year-on-year, roughly matching inflation.
6. Weak GST collections signal both slowing economic activity and inefficiencies in the GST framework.
7. The editorial emphasizes the urgent need for structural reforms in GST to address these inefficiencies.
8. One key reform proposed is the inclusion of fuel under GST to achieve the original vision of “one nation, one tax.”
9. State governments resist including fuel (and alcohol) because these are crucial independent revenue sources for them.
10. The editorial argues this resistance cannot justify permanent exclusion of such items from GST.
11. To compensate States for revenue loss if fuel is brought under GST, the Centre should consider giving them a higher share in central taxes.
12. The editorial criticizes the Centre’s growing reliance on non-shareable cesses, which limit States’ revenues.
13. States, in turn, are cautioned not to misuse increased funds on untargeted, election-driven freebies.
14. Another overdue reform discussed is reducing the number of GST rates, currently under review by the GST Council.
15. The GST Compensation Cess, initially meant to offset States’ losses, should be removed after fulfilling its purpose instead of being merged into general GST rates, which would build public trust and stimulate urban consumption.

Practice Exercise: SSC Pattern Based



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